



**International Conference Call  
Banco do Brasil S/A (BBAS3)  
2Q24 Earnings Results Transcription  
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**Janaína Storti – Head of IR**

Hello, good morning, everyone. I'm Janaína Storti, Head of Investor Relations at Banco do Brasil. Welcome to our second quarter 2024 results live. Our event will be in Portuguese, with simultaneous translation into English and you can choose between three audio options: original, Portuguese or English. There here with us today are our CFO Geovanne Tobias and Felipe Prince, our CRO.

I will start this event with Geovanne bringing you the highlights of the results and then we'll go to the question-and-answer session. I'd like to remind the analysts that in case you have questions, please indicate through the link that you already received, ok? I would also like to remind you that the detailed presentation of the results commented on by Geovanne was already made available on our IR website yesterday, when we released our results.

So, to start, I'm going to ask Geovanne to make some comments and then we'll start the question-and-answer session. Thank you.

**Geovanne Tobias - CFO**

Thank you, Janaína. Good morning, everyone, we're here once again to announce what we consider to be a very robust result, clearly demonstrating the success of our strategy of working closely with all our customers, focusing mainly on improving their journey, focusing on offering suitable products.

We delivered a profit of R\$ 18.8 billion, a growth of 8.5% in the half-yearly view. I know that many analysts don't believe in our ability to generate growth in profit, but we are confident that we will deliver the High single digit, our financial margin, which grew by 16%, reaching R\$ 51 billion. There are also many doubts about the margin with clients. We'll be able to discuss this in a little while.

Fee Income: despite all the increased competitiveness with the neobanks, the digital banks, we have focused on the principality with our clients. We've managed to grow the volume of funds managed by BB Asset. We've also grown the entire consortium business, our insurance business and the



entire ELO chain. This has generated R\$17.2 billion in fee income, service revenues, not just fees, but other revenues as well.

A growth of 4.7%. Administrative expenses under control, which allowed us to deliver the best cost-to-income ratio among the banks in the sector. The growth in credit was very much in line with our guidance. And here the highlight, without a doubt, is payroll loan, which is our biggest driver of growth in individuals, but we are also paving the way for 25 to focus on our payroll loan. We're going to debate that too.

In terms of delinquency, under control, NPL over 90 of 3%, and our CET1 at 11.60%, we generated organic profits that were incorporated into our capital basis to sustain the growth of our businesses. Our consumption of capital, it's not only a result of the increase in the credit portfolio, but also from many treasury operations, taking advantage of opportunities in the macro sphere that generated volatility and which the bank was able to act on together with its clients, in hedging and derivatives.

And this also generated a very positive result, which required more capital. Well, those were the highlights and we're going to start the question and answer session.

### **Janaína Storti – Head of IR**

Thank you, Geovanne. I'm going to start the question-and-answer session here. Remember that you can ask questions in both Portuguese and English, ok?

And our first question comes from Daniel Vaz, from Safra.

### **Daniel Vaz - Safra**

Thank you, Jana. Good morning! Good morning, Geovanne. Good morning, Felipe. I'd like to explore the growth strategy of the corporate portfolio. We see stronger growth in large corporates and in TVM. If you could guide us here for the second half of the year, for next year, what is your ambition in this regard?

We know there's guidance there, but growth was very strong this quarter. We're seeing this consumption of capital that you mentioned with treasury, with more debentures, more hedging. And then we wanted to reconcile a little here on our side, how capital will move in the coming quarters, due to stronger growth in large corporate and TVM. Thank you.



### **Felipe Prince - CRO**

Perfect Daniel, good morning. Nice to meet you again. I think the market, although it was more restricted, let's put it this way, in the first half of the year, presented opportunities and we were able to take advantage of these opportunities, as you very well observed, especially in large corporate related to capital market operations. Remembering that we have a consolidated joint venture between third and fourth position in DCM operations, we have been originating these operations very strongly.

The market has provided this opportunity and, obviously, on the one hand, we serve our clients, large companies, and on the other we have a very powerful client basis, individuals, where we can channel this distribution. So, the strategy is the same as the one we've been discussing with you. Obviously, given the issues, especially in the international environment, the market is still a little confused in this area for the second half of the year.

But what you can expect from the bank is exactly that: taking advantage of these opportunities and these opportunities will be transformed into full service to our clients' needs at both ends. And with that, we manage capital properly and you can work with the prospect of stability in this indicator going forward, continuing to finance the growth of our activities.

### **Geovanne Tobias - CFO**

And if I could draw your attention, Prince, without a doubt the biggest one we have in the Companies Loan Portfolio sphere, is working capital. We ended the year with a balance of R\$164 billion, an increase of almost 8%. We have opportunities, we are also working with structures to help companies with their investment needs. We have an investment portfolio of R\$71 billion. This one in particular, we grew by 22%, a very significant growth. We're going to keep focusing on it, and of course, the bank is the biggest financier of Brazilian foreign trade. The ACC portfolio amounted to R\$ 31 billion, also a growth of almost 24%. I think these are the main pillars. When we look at medium and large companies. The micro and small segment, we've already talked about, is a segment that we're doing there, even in a prudential way, a risk assessment. Then came the "Desenrola MPE", and we added another R\$4 billion to the renegotiated portfolio as a result of this unfolding of the SME, but we believe that, in the context of micro and small companies, the very proposal of the Cielo auction, we want to offer a solution that adds more value to micro and small companies, in a way that we can differentiate ourselves, taking advantage of our national capillarity to be able to further strengthen this bond with micro and small companies.



**Daniel Vaz - Safra**

Perfect! If I can do a follow up, in two years we can see the coverage going from 450% to 205% in large companies. I'm sorry, in the Companies Loan Portfolio. Do you think that's the level you want to take your coverage to, or should there be some reinforcement?

**Felipe Prince - CRO**

No, it's not. Good point, because we had these 400, even a little more at the height of the pandemic, precisely to deal with a risk that was unknown at the time. We've always made it very clear that as the situation normalized, this coverage rate would be consumed and brought to levels that we feel are appropriate. We don't have a coverage target. This is actually the result of applying our models. But what gives us confidence is that the accuracy of these risk management models in all portfolios, but especially companies loan portfolio, and its output.

It's a coverage that we believe gives us total peace of mind to manage this portfolio, continue to grow and cope, of course, with any defaults that may come along with it. So, you can expect stability in the companies coverage as well, since we're growing, but growing and preserving the appropriate risk-return equation.

**Daniel Vaz - Safra**

Thank you very much, everyone.

**Janaína Storti – Gerente Geral de RI**

Thank you, Daniel. Well, now I'm going to call the next analyst here, Bernardo Guttmann from XP.

**Bernardo Guttmann - XP**

Good morning, everyone! Thanks for the space to ask. I have a question about the increase in ALLL expenses guidance. It would be interesting to understand which sectors and which segments are likely to pull more provisions forward. Individuals seems to be an offender, Agro seems to be on a steeper curve too. Are there other segments of concern here? If you could also elaborate a little more on agribusiness, how are you seeing the dynamics of demand and default? Thank you



## **Felipe Prince - CRO**

Perfect, Bernardo. Well, we have to separate. We joke here at the bank we have the good cholesterol, which is the ALLL expenses that comes from the new business we do, and obviously the bad cholesterol, which is the ALLL expenses that comes mainly from the delay in operations. So, when you look at our portfolio, you can see that in the corporate segment, sorry, in the individual segment, we have reached the point where we always said we would bring this portfolio, so we consider the risk mitigation process in the individual segment to have been successfully delivered.

So, the ALLL expenses that are originated is typically the good cholesterol, the result of the expansion of our credit, especially in payroll loans. You can see this by looking at our individual loans, especially those contracted during 2024. In the corporate sector, we had been saying for some time that this process had begun. It's important to make it clear that it's very concentrated in micro and small companies.

A large part of this portfolio has risk mitigation, mainly from Pronampe. It happens that these defaults have to run on our balance sheets for 180 days before the FGO honors them. So, this ends up generating a flow of defaults which, on the payment dates, is reversed. We also showed a stabilization of the companies' default indicator, which shows that we are very close to inflecting this curve and when you inflect this curve, you tend to have a lower consumption of provisions.

To be objective, after explaining the other two portfolios, the greatest pressure we estimate for the second half of the year, which motivated the revision of the guidance, comes from the agribusiness market. So, what measures are we taking? The first was a very strong negotiation we made so the bank would once again have its fair share of controlled resources for financing the Crop Plan.

It happened, it's the largest volume in the last five years that we've received for equalization of resources. And now, here's the idea: these resources are already on the streets and in a very strong process of regularizing these operations that are in default. How regularization? Because to start the next harvest, rural producers need to regularize what is pending. And since we have very attractive lines of financing here to convince them to do this, our greatest negotiating effort today, where our colleagues are working to promote these regularizations, is to speed up the disbursement of the harvest.

And with this we hope to keep agribusiness defaults normalized at this level, which is 1.30, 1.50, which is our historical level, and these



regularizations mitigate the impact of generating new provision expenses. As I said, this is due to the delay in operations. So, everything has been mapped out, we even have a glance at which clients need to be regularized.

Our business team is on the road doing this work and we hope to bring you good news in the coming quarters.

**Janaína Storti – Gerente Geral de RI**

Thank you, Bernardo.

**Bernardo Guttman - XP**

Thank you, everyone.

**Janaína Storti – Gerente Geral de RI**

Thank you. Well then, I'm going to call Gustavo Schroden, from Bradesco, here to ask the next question. Please, Schroden.

**Gustavo Schroden - Bradesco**

Good morning, everyone! Good morning! Good morning, everyone! Good morning! Thank you for the opportunity. Good morning, Geovanne, good morning, Prince. I wanted to talk, I wanted to continue a little here about ALLL and asset quality and even expand the conversation a little, because there was a change of guidance and you, sorry, the camera was off.

I wanted to talk about this, about ALLL and asset quality. There's been a change in the guidance. I'd first like you to tell us about this increase in ALLL. What do you see that was a little off from what you had planned at the beginning of the year? Given that, when we talk to you, we realize that there is a more positive feeling in the second half of the year, Prince has just explained some specific points about the FGO.

There are also some agro issues that tend to improve in the second half of the year. What do you think came out a little differently from when the year began to have to revise the ALLL upwards, given that it came in higher in the first half and also on this point, if you can also explain renegotiation, which in our view rose a little above past trends and credit recovery too, which also came in a little higher.

If you could elaborate a little more on this topic, I'd appreciate it.



## **Geovanne Tobias - CFO**

Thank you. Gustavo, thanks for your question. Let's get to it. There's no doubt about it, but I think what wasn't expected was that, in the context of the agricultural market, we see a willingness on the part of farmers to deliberately delay payment, hoping for an improvement in either the price of the commodity or the exchange rate.

I know that volatility has been so high lately that it's difficult to make an estimate looking ahead. But until then we were coming from record harvests and with extremely favorable price and exchange rate levels for the producer's margin in the field. So, when we put together this budget at the end of last year, from October, October to November, and published it to you, this was the scenario.

But from the first quarter onwards, we started to see a certain resistance from farmers, and we had also talked about this a lot. Look, it's going to depend on a lot, most of these lines are short term and as soon as the new crop comes in, we have the conditions even to able them to access the new crop, they must regularize.

That's what we've noticed in agribusiness. We've already managed to reach an apex, especially in the purchase operations. Purchase operation is short-term, so it's there, in the 1 and something range. It hit 1.2%, 1.3%. We reduced it to 1% in the second quarter.

But the investment part, which are longer lines, and this is important to remember, the farmer, they are investing, hoping for improvements and bigger harvests, at higher prices. So, today's rural economy has changed. The price of commodities has fallen, as we had the initial impact at harvest time, and the exchange rate itself has fallen. And this is causing us to prudently increase the risk, of course, don't forget that the history of an average default in agribusiness of 0.5%, it is all-time low in the history of agribusiness, because we were really experiencing a commodity boom there during the pandemic period.

Now, we've always been warning you about all this and we even said that in the second quarter we had specific campaigns in our network to improve recovery and we delivered the highest recovery volume in our entire history then, R\$3 billion in the second quarter, as part of this collection and regularization effort. Of course, the current Safra Plan ended up being delayed. So, we hope to see a better effect on compliance. We've even adjusted Conexão, which is the program that connects the network so that it can carry out what we here in the administration are seeing in terms of strategy, so that they focus a lot on improving customer compliance.





So, we believe that we will be able to keep this default under control. We are extremely calm, because even with the worsening risk and the increase in provisions, we delivered record results with extremely attractive returns for Banco do Brasil's shareholders. And what we're doing, this adjustment here, is to help you better estimate what to expect for the whole of 2024.

Because, on the other hand, we also saw growth, beyond what we expected, in margin. We saw an expansion of 16.4% in the margin. We have an effect from Patagonia, but it's not that significant, because if I exclude Patagonia from my margin and look at the Brazil x Patagonia margin, the expansion would have been 16%, not that it doesn't add up, it does, but it's not that fundamental. So, my margin was very much based on the spread on my funding, which improved, you know? And, in the expansion of credit. Now, of course, looking specifically at credit, there's also an effect on the agribusiness margin, but we understand that this is all very specific. But starting with this new harvest, we're going to have a different outlook.

I'd like to hand over to Felipe to talk a little about renegotiation and recovery.

### **Felipe Prince - CRO**

Perfect, Geovanne. The renegotiated portfolio, which has been growing, is the result of a strategy we adopted. So, our leading role in the Desenrola program last year. Remembering that we adopted an expanded concept here, we tried to bring, given the situation, the possibility of regularizing operations not only to the public targeted by the program, which even has a full guarantee from the Federal Government, but also to other publics here that we felt deserved this possibility of renegotiation and keeping these clients active here in our base.

There was this program last year and this obviously feeds into our renegotiated portfolio. But this year, we had a new one. We're still running the new program, which is Desenrola PJ, and it's bringing in a very representative volume. And we've also been taking this type of solution to other clients, companies, and this encourages the issue of regularization.

It keeps the client here with us, but obviously it has an impact on the growth of the balance of the renegotiated portfolio. But all of this was done strategically and in a way that we had already thought this balance could reach, because it had been running at very low levels due to the entire customer service process that we have carried out since the pandemic.

So, we have this process now, obviously, which is what makes us believe and be sure that we will deliver a good performance from this portfolio.





It's exactly what Geovanne said that our collection efficiency, which we've always been talking about with you, the relentless pursuit here for us to raise this performance for strategic reasons, you can see that, we don't assign active portfolios, because the economic benefit I'll receive from an active portfolio session is less than the fruit I'll reap from our professionals here collecting. And I keep the client active here with us. So, this performance was very favorable in the second quarter. We can even consider that, due mainly to two cases in the corporate segment, it won't remain at this level.

But you can expect, both in the third and fourth quarters, a higher credit recovery performance than the one we've had historically, which is more or less two billion per quarter. So, we're very confident, we have all the tools to manage this portfolio, we have qualified professionals, digital collection models that we've been systematically improving.

We have a renegotiation robot, WhatsApp, which is a benchmark in the market. So, all this makes us believe that the balance, Gustavo, to be quite realistic, should remain at this level. But we have a very strong collection efficiency, raising what we have historically delivered every quarter, not to the level we have today, but to the middle of the road between what we used to deliver, which was 2,0, and the 3,0 we delivered in the second quarter of '24.

#### **Gustavo Schroden - Bradesco**

Very good guys, super clear. If I may, just to close this topic, which I think is important in this matter, if, from what you're saying, the level of recovery is higher, let's work on a certain accommodation or a better default environment, the ALLL for the second quarter should be below these, of these R\$16.2 billion that you totaled in the first half, that is, more towards the bottom of the new guidance that you brought?

#### **Geovanne Tobias - CFO**

We're aiming for the middle of the guidance, so you should expect a similar level. And if I repeat R\$16 billion, I'm aiming for R\$32 billion, you know? So, I'd be talking about R\$8 billion per quarter, more or less it's R\$8 billion per quarter exactly.

So, because our initial expectation, Gustavo, was that we would actually be able to do this, reach the peak and turn this curve so that we would be able to do less in the second quarter. But we realized that it wouldn't be that way, because not only we are growing, but also the good cholesterol that Prince said, you have to make provisions, as my portfolio grows. But I



also have these others that I'm managing, particularly in agribusiness. Basically, the investment lines, which is where expenses were stretched to 1.5%, the costing has already returned to a level of 1% of defaults. But we have to be attentive to this and in the case of micro, small companies, so we understand that keeping at the level of eight and a bit per quarter, trying to do a simple arithmetic calculation, this would be what to expect in the second semester.

#### **Gustavo Schroden - Bradesco**

Perfect. Very clear. Thank you very much for your answers.

#### **Janaína Storti – Gerente Geral de RI**

Thank you very much. Our next question comes from Ricardo Buchpiguel from BTG.

#### **Ricardo Buchpiguel - BTG**

Good morning, guys and thanks for the opportunity to ask questions. I wanted to understand how much of the bank's default and provisioning in the SMI segment should benefit from its Pronampe guarantees and when they are expected to be exercised. And the second question, we see that client credit has fallen, right? There was a pressure on the credit mix and also a margin with the commercial fund more pressured with the lower Selic rate.

So could you comment a little bit on how you see this going forward and, in case we see more Selic cuts in the coming quarters, this range margin should continue to be compressed? Thank you.

#### **Felipe Prince - CRO**

Perfect, Ricardo, I'll comment here first, because it's quite objective. So, especially during the pandemic, Pronampe was contracted on specific dates and then, obviously, you have specific maturities and, consequently, ALLL recovery on specific dates. But as we start to bring this portfolio to a normal rollout, the number is 500 million quarterly in provision recovery coming from the honor of Pronampe.

#### **Geovanne Tobias - CFO**



Regarding... If you could repeat your other question, the margin you wanted because it was choppy here in your audio.

### **Ricardo Buchpiguel - BTG**

We saw a drop from clients, it fell, every quarter, there was pressure from clients mix and there was also pressure on the commercial fund with the fall in the Selic rate. So, basically, I want to understand a bit about the trend ahead and if we see cuts in the Selic rate, if this margin of the commercial fund could play against it, it could continue to be compressed.

### **Geovanne Tobias - CFO**

Thank you. Well, what's our forecast? Well, first of all, we're working for the rest of the year, keeping the Selic rate at 10.5%, without a doubt. And I always say that. We're very pre on assets and post on liabilities. But in liabilities I have a piece of it that is savings and judicial deposits, which is 6% fixed.

So, as the Selic falls, it compresses my spread on funding But, on the other hand, it also, in a way, makes it cheaper, then, how much I have to pay on my deposits, term deposits. If we look, and I know that many analysts have looked, and you open your margin with clients and it's not good and so on.

We have to take two points into consideration here, I think. Firstly, we saw a drop in my funding costs. This is positive, as a result of the fall in the Selic rate. I think this is also positive. And as long as we focus growth on the lines with the highest returns, maintaining an adequate risk/return equation, it's positive.

Looking ahead, I'd like to ask you to go back to when we announced the 23/24 crop plan. That was when we received the lowest amount of equalized resources to finance the rural harvest, and we had to increase our market funding in order to meet our clients' needs.

This, in a way, squeezes this margin with clients. But that's in the past, because now the crop plan that's starting now, and this has also been publicized, was the biggest in terms. We have recovered, so to speak, the level of equalized resources, even improving the spread for these lines. And many of you even accessed Cat and saw how we increased it.

So, we can expect an improvement in this customer margin from now on, because here I have two factors, looking specifically at the resources for the agribusiness sector, which came with a more compressed margin, and this is there in the MD&A. You can see why we had less access to equalizing resources that helped to observe this.



From now on, this will be corrected with this new crop plan that we've already announced. And there's another point too. You saw that there was an increase in arrears. We reinforced provisions and, as a result, operations are more than 60 days overdue. People usually look at INAD 90, but those that are more than 60 days overdue, we stop approving interest.

This also has a negative impact on my margin. And since I don't sell active portfolios, I carry these assets that are no longer accumulating interest in my profitable asset base, causing this perception. Now, on the other hand, we understand that we have a robust financial margin of R\$51 billion in the half-year view. For the year, we will also deliver a higher margin than the previous year.

That's why we revisited, revised this guidance, you know? But when doing this management analysis, it's important that you keep this in mind. So, what happened with the smaller and equalized resources that we had in the previous harvest, that is having an impact here. But from now on, we're receiving a much larger volume of equalized resources at a higher spread, and it's going to lead to a better return here on the margin with the client.

#### **Janaína Storti – Gerente Geral de RI**

Ricardo, and also if I can complement, I always want to suggest that you look at the margin in the context of accounting, because we end up having some variations there in the margin, with the client, margin with the market, there is some part there of the liability margin that ends up flowing into the margin with the market, which would be a margin with the client.

So, we've made some methodological adjustments that we believe will allow you to reconcile exactly the relationship we have between assets and liabilities. So, for example, you're looking at our credit income and its behavior over the last few quarters. Geovanne commented an important element that will influence the spread, for example, of the agro portfolio, in the coming cycles.

And this supports the growth in financial income from credit operations. We have a credit cycle that has been growing in a more defensive position, right? So, you see us growing, a lot of payroll loans. Agribusiness is also an important element for us in terms of portfolio growth. But at the same time, we see some opportunities starting to emerge for us in the second half of the year.

Looking a little more at Non-Payroll Loan, as well as the credit card portfolio itself, which has shown a reduction, given the risk strategy we've had, we also see some opportunities to grow this portfolio again and this feeds the margin. So, it's an important element for us to look at there in



the revenue from credit operations, you realize that our treasury result, we expected a reduction in it due to the effect of the rate, right?

We have this context now of more stabilized Selic rate, which provides a better context for this treasury result, along with the volume as well, which we saw, including growth here in this quarter. And this compensates when we look at credit income and the reduction in funding expenses, we have the compensation of this lower treasury element.

But also remember that we have a very specific element here in our funding, which is our exposure of more or less 50 percent in savings resources or judicial deposits, which has the same remuneration as savings. So, in the context of the Selic rate staying above 8.5, it ends up bringing a certain amount of pressure to us, in this course of funding, which reduces, this reduction is more limited, even in a scenario of a reduction in the Selic rate. So, we should see a slightly smaller contribution from now on. But looking at the whole, it's what we have and what I said here, we have financial income from credit operations and funding expenses that together support this effect of treasury coming in a little lower from now on.

We had a good delivery of Patagonia, which is included here in this view, both in accounting and in management, it has an integral impact on the market, right? But here, when we open the accounting view, you can see it line by line, including the reduction in the treasury result that we saw this quarter. But it's still a very important contribution.

There were 4 billion there up to the start of the semester. And we still expect a positive contribution from Patagonia in the second half of the year, but probably at a slightly lower level than what we saw here in the first half, given all the movement in Argentina, the securities exchange positions that the bank there has been implementing, but it's still a very important position.

So, here we reinforce with you our capacity to sustain and grow our gross financial margin. Looking ahead to the next few quarters and once again recommending that we also analyze the financial margin in accounting terms.

### **Geovanne Tobias - CFO**

Because it's hard to believe, right, my global spread is at 5. It's gone from 4.7 to 5. We don't see any problems, despite the quarter view, you analysts, you're like "Oh, no, but the trend is such and such, based on that". We don't understand that, quite the opposite.



**Ricardo Buchpiguel - BTG**

Super clear, guys, thank you, thank you.

**Janaína Storti – Gerente Geral de RI**

Well, on to our next question. I'd like to call Renato Meloni from Autonomous. Please, Renato.

**Renato Meloni - Autonomous**

Good morning, guys, what's up?

**Geovanne Tobias – CFO**

Good morning!

**Renato Meloni - Autonomous**

Thank you for the space to ask questions. I'd like to have a little more visibility on the revision of the net interest income guidance. I wanted to understand how much came from a better expected result from Patagonia than came from other elements here.

If you could comment a little more on the customer net margin as well. And within this context, I'd like to understand what the exchange rate assumption for Argentina is that you're using for Patagonia. That is, if there is another large devaluation of the exchange rate during the year, would this affect the financial margin? Thank you.

**Geovanne Tobias - CFO**

Thank you. No. The premise is what we're working with, without a doubt, we are managing to generate more spread in the Agro portfolio, as I said at the beginning, we managed to get a larger volume of equalizable resources than we received in the previous harvest. And the new harvest is starting now. As of August 5, we have already disbursed R\$20 billion for the new harvest. So, within the context of a better spread, growth is to be expected.

In addition, we have very tactical strategies that we are carrying out within our treasury, such as derivatives operations, hedges with clients. We are the largest foreign trade financier. It's important to point this out. And



that has allowed us, given this volatility, to generate gains there, beyond what we would consider within an expectation of a less volatile scenario that we would have.

We've also done it, presenting, taking advantage of a specific opportunity. We invested some R\$ 10 billion in a structure that also brings us a return well above the Selic rate. So, this has also allowed us to improve our treasury, our credit as a whole. We've managed to grow in agribusiness, pardon me, in payroll loans, and we've focused on a very large expansion in payroll loans and INSS, we grew by more than 20% in that specific line, also bringing a greater contribution from individuals. And we're looking very closely at the expansion of non-payroll loan. We can see that the market is picking up again in non-consolidated loans. There you have higher spreads and we intend, already paving the way, already thinking about the result of 25, my credit portfolio, credit card, for example, 50-something billion, one of my competitors has three times more, practically that amount.

So we can focus on this growth, since I've already solved, for example, my onboarding, which was one of the problems back then, which brought credit card defaults above 10%. And this credit portfolio today I've managed to make the risk of it, and I'm with defaults close to 5%, So it becomes more attractive, given that investing in technology, systems and security.

I have this better onboarding. I can do that. How do you say it? A growth in a safer way, in this line specifically. And there's a whole, new framework there, Prince can even add some data, the possibility that we're offering non-consolidated loans, but with guarantees and based, for example, on pensions. Isn't that right, Prince?

### **Felipe Prince - CRO**

Exactly, Geovanne. So, the new legal framework for guarantees was already an existing operation, but it had its challenges. The new legal framework for guarantees consolidated the possibility of using pension plans as guarantees for credit operations. So, it's only natural that we take advantage of this strength. We are the leaders in private pension plans in Brazil.

We have R\$400 billion under management and a portfolio of non-payroll loans, co-lateralized by these plans, of only 300 million. So that's 300 million for a total under management of 400 billion. You can see the size of the avenue we have to cover and, even better, maintaining our customer service. Because many times, in the event of a need, the client ends up opting to redeem the pension plan to meet that momentary need





and this obviously brings about a not very good perception in the relationship with the bank.

By being able to offer this credit, you keep the balance under management preserved and still make the credit. It's the best of all worlds, serving the customer and making them happy. So, we really believe in this potential.

### **Janaína Storti – Gerente Geral de RI**

And Renato, just to complement the difference in the scenario that led to this revision of the Guidance, the element of a higher Selic rate also contributes to our revision, to the extent that it supports a higher treasury result and offsets this small compression that we're going to see here in funding expenses, in other words, a less accentuated reduction.

At the same time as we grow credit revenue with portfolio growth, generally in the second half of the year, it ends up being more dynamic too and more beneficial for the margin as well. Given other elements that we considered here in terms of portfolio growth. But this is also included in our review. And Patagonia's own contribution, which in this first half contributed 4 billion, which was initially what we had forecast for the year as a whole.

So, it also brings an element here for us of adding margin in our year 2024.

### **Felipe Prince - CRO**

That's it, just to conclude, no Maxi is foreseen in this premise.

### **Janaína Storti – Gerente Geral de RI**

Yes, as with the exchange rate. It really is still a very difficult scenario to make any predictions regarding the rate, but here in our context we don't consider any maxi devaluation or new maxi devaluation.

### **Geovanne Tobias - CFO**

It's perhaps important for you to understand about Patagonia that one of the main factors in improving the result there, regardless of the macro issue, not least because the economy is still in the process of stabilizing, was a decision by the government to remove the cap on the return on funding. So, Patagonia is a very liquid bank and has a very good reputation in Argentina.

So, it has a fund, a significant volume of funds. It's practically all invested in over, in liquidity, in Argentina. Exposure to the dollar is not so great. But



you had a cap. I was obliged to remunerate account holders at 110%, if I'm not mistaken, of their prime rate there.

### **Felipe Prince - CRO**

LELIQ.

### **Geovanne Tobias – CFO**

Yes, Lelic. And with this new one, it's also part of the program to remove that cap. So today you pay an average of 40, 45, something like LELIQ on this funding. So, you have a fantastic spread on the funding side. So, this also explains why Patagonia's result here in our margin has been higher than what we expected back then, when we initially closed the budget, because until then we had no visibility of what would happen.

Max already happened there at the turn of the year. We know that today the official parallel exchange rate has opened. It's not enough, there's a gap. Perhaps the government will have to close the gap again. But for now we don't expect any impact. Also, because the contribution of the margin, that 16.4% growth in the net interest income, if I exclude Patagonia, I would have net interest income growing by 16%.

### **Renato Meloni - Autonomous**

Well understood. Thank you very much.

### **Janaína Storti – Gerente Geral de RI**

Thank you very much. Well, our next question comes from Brian Flores from Citi. Hi Brian!

### **Brian Flores - Citi**

Hi guys, what's up? Thanks for the opportunity too. Congratulations on the new format. I think it looks great. Congratulations! And I'd like to take this opportunity to ask you a little bit about capital. I know you recently increased your payout and I also think you said it was for a few years, we've seen a reduction in core capital and as you said, also risk appetite and you're still very healthy.

So, looking ahead, 25 and from then on we should see, perhaps, a moderation in this appetite. How are you thinking about this when you



think about the growth budget? Month by month the capital position, which is perhaps a little tighter and with those payments already in the dividend. What are you doing?

### **Geovanne Tobias - CFO**

Thanks, Brian, for the question. Just to bring it into perspective, if I had kept my 40% payout, the estimate is that my CET1 ratio, instead of being 11.6, would be 11.67. So that would be seven beeps more. That isn't what makes the difference. It certainly does when we discussed increasing the payout, which was also a desire, a wish and perhaps even a demand from you, the investors asked us a lot to distribute this excess capital.

Ah, that was good because it gave us food for thought as to what the optimal structure of this capital would be. Of course, for us, Banco do Brasil, we don't access the capital markets all the time, because necessarily I would need to have the agreement of my controlling shareholder to participate in a secondary, a follow up, an issue, pardon me, primary, but in reality we then built the bank's strategy to be able to promote business growth in an organic way, with the generation of sustainable results.

So that's what lies behind our strategic ambition. I need to generate profits that are incorporated into our capital base to sustain growth. We predicted, and when we decided to increase the payout, we also predicted this reading of a more benign scenario, where you would have a reduction in interest rates, a reduction in unemployment, better economic activity, growth and, with that, a greater demand for credit.

And that's what has guided our strategy. What we have seen, in fact, is: we are growing in our core business, we are generating results. This result is being sufficient to support this growth and this drop in core capital is totally within what we predicted would happen in this process, because it's a process of disbursing, generating the result and replacing that capital that was consumed with leverage.

We've been trying to optimize this structure, it's well above what would be our prudential level, the level, the minimum required by the regulator is 8%. Above this 8%, I've already set a prudential level for us that is closed within our risk appetite, approved by the Board and the Risk Committee of the Board of Directors and at the level of 11.60, I'm still above, so I still have a buffer to continue reducing as I expand my assets.

It will reach a certain point, when it picks up again, but we don't want it to grow. We need to maintain what we would consider to be an optimum level, close to what would be prudential. We don't disclose what the prudential level is, but I'd say it's well above the regulatory minimum.



So, we're not interested in having a high or very low equity ratio today. Now we believe that at this level, do you understand? Of 11 is an extremely healthy level of capital. It's great for us to be able to maintain the growth of our business.

### **Felipe Prince - CRO**

So Brian, you see a future perspective. I don't know if this is what you wanted to add, but we've already been through the issue of operational risk, which is going to be implemented.

But most of the projections and impacts have already been absorbed in this index that we have. We also have the issue of IRFS9 from 14,467, where we have been debating very strongly with Febraban and our regulator, the possibility of deferring the change in the provisioning rule for 36, 60 months or even a longer period.

And this will obviously cause this capital to fluctuate. But as Geovanne said, our risk appetite is established. So, we're quite comfortable both with what's to come in the regulatory sphere, but also with our ability to continue financing the expansion of our business.

### **Brian Flores - Citi**

Thank you. Geovanne, a quick follow up if you can. You mentioned how conditions were a little more favorable. Now that the scenario has changed and if it continues to be a little tighter, more difficult, with high interest rates as you said, would it be feasible to see any change in the payout from now on?

### **Geovanne Tobias - CFO**

No, we work with a payout of 45. Unfortunately, I can't guide the bank's business by opening the window and seeing if it's going to rain or if it's going to be sunny. For me, that's what the market is today. Today the Fed will cut interest rates, tomorrow the Fed will raise interest rates. So, there's a volatility that brings opportunities and we've been able to take advantage of these opportunities in terms of treasury results.

But we are still working with the prospect of growth in Brazil's economy. For next year, we're working from a Selic rate of 9.75 for this year, keeping it at 10.50. So, we're not working with this prospect of an increase in interest rates. Can we revise this scenario? In principle, yes, but I think the probability is much more of a tail than a real probability.



So we continue to orient our business towards this scenario.

**Brian Flores - Citi**

That's perfect. Thank you very much.

**Janaína Storti – Gerente Geral de RI**

Well, thank you. I'm going to move on now to the next question from Yuri Fernandes, from JP Morgan.

**Yuri Fernandes - JP Morgan**

Thank you, Janaína. Good morning, everyone! I wanted to come back to the question of margin, to focus a little on the asset. You've already commented on some lines of risk-taking and the card is one thing that catches our attention - you've lost marketshare in recent years. There was an NPL that Geovanne has already commented on that was high, it has fallen, we look there at the portfolio that generates interest within cards.

It's at a historically high level. I think 80% of your balance sheet is transactional. It used to be, 75 and there's the redesign of Ourocard. Then on the other side you have a Brazil still relatively leveraged and the industry has grown closer to ten. And you're still falling. I think the quarter to quarter was -1. I think the industry's quarter-on-quarter was +2.

My question is what will this card growth look like? What is your strategy? Is it High-income? So the product has been revamped. I think maybe you've done your homework and it's super important to understand the card for the 2025 margin, so I think the game is super positive, with margin and I understand the hole. I understand the liabilities, but I wanted to explore the individuals a little. How do you grow individuals or what strategy for Banco do Brasil's credit card going forward? And if I may, a second question. But this one is very quick, it's just about Previ. We should have a little bit of an idea of what it should be. Generally, when we see the future yield curve opening up, it tends to be good for the previ result the factor step falls.

So if you want to comment a little bit on previ, it might help you in the second semester, I'd appreciate it. Thanks guys.

**Geovanne Tobias - CFO**



Yuri, thanks for the question. We deliberately practically closed the credit card portfolio and then there was all that discussion about the revolving credit card, the interest cap, the revolving credit card, etc and so on. And we knew that our onboarding solution wasn't the right one, it caused a lot of friction and we had several moments when we are launching this new ourocard platform, focusing on experience above all else, right? We chose not to focus so much on credit card loans but to offer credit solutions, etc. And in credit we grew by 9%, for example, rather than focusing on credit cards.

I know that Nubank, Itaú and these other banks focus their portfolios a lot, if I'm not mistaken Itaú's is almost three times my credit card portfolio. I think it's an opportunity, yes. For us to be looking at, of course. AB don't tend to take out revolving credit cards they pay in installments without interest, paying the whole bill.

So we're talking about CD, but in an extremely careful way, because the bank ended up in the open sea for EF and we had a lot of losses. So, we kind of put the brakes on for this market, for this product. We invested in technology, tried to reduce friction in the customer's journey, also allow for a faster, more agile and more secure onboarding, so that from then on, you can have the opportunity to offer the card and also work on this type of financing. So, one of the things that we've recently launched is that we're going to be focusing on PIX in installments and paying for it on the card, you know? Because PIX is here to stay. It's a reality, it's advanced a lot over cash and also TED and Doc transfers. We don't see PIX advancing over credit cards yet, and debit is practically stable, but we do have room.

It doesn't make sense that my peers are growing their credit cards by 2, 3, 4% and the bank is falling by 3%. So, we have, at least. And you don't see the non-payroll loan, bank card, it's kind of losing a little bit of growth. So, we need to recover that, okay. And the other thing you said about Previ, that's Previ.

To the extent that you have an increase in... you reduce the mathematical provisions due to the growth in the rate. There's no doubt that this is beneficial, right? We had, do you have the numbers?

### **Janaína Storti – Gerente Geral de RI**

Yes, we have that anticipated result, what we have and what we had in the last two quarters was 640 million and we predict here, according to the actuarial analysis, 700 million in the next two quarters.

So, it does have a positive contribution, which was already positive in the first quarter and is now a little better in the second.



**Yuri Fernandes - JP Morgan**

Thank you, guys.

**Janaína Storti – Gerente Geral de RI**

Well folks, our next question comes from Mario Pierry, from Bank of America.

**Mário Pierry - Bank of America**

Good morning, everyone! Congratulations on the result. My question is a bit more boring, when I look at your guidance, the change in guidance, we see that your provision in the middle of the point went up by R\$ 4 billion. If I take the midpoint of the revision you made in the NII, it's R\$2.3 billion. So, in other words, you're expecting expenses of 4 billion more and revenues of 2.3 billion, but at the same time you've maintained a stable level of your net income between 37 and 40.

So, I was trying to understand what that means. Are you seeing some other lines there that are a little better than expected? Or are you looking a bit more now at the border of Guidance being 37 billion?

**Geovanne Tobias - CFO**

Thanks for the question. How am I going to pay this bill? In other words, that's what you want to know.

Don't forget those R\$18.8 billion, almost 9 billion of which comes from my other businesses. So, I have insurance, I have consortium, I have "n" other businesses that are, in a way, helping us to deliver this result of 21-something percent return on equity. So, we have an expectation, yes, it comes from different communicating vessels to help close that account there, that profit of 37 to 40.

Now, of course, starting from the premise that my gross financial margin I delivered a growth of 17% or 16.4, pardon me, in this first semester. So, if I'm working for a year, 10 to 13, it's as if I'm going to perform a little less well. Let's wait. We're about to start the new crop plan. As I said to you, the crop plan is also coming with a volume of equalized, higher revenues, bringing us better spreads.

So, we believe we're taking a more conservative approach here, Mario. So, if you do this pure and simple math, we won't give you the guidance for all





the bank's other business lines. You could simplistically close by doing this math. Like, you're short by two billion, where is it going to come from? But it will come? I'm sure.

**Janaína Storti – Gerente Geral de RI**

And Mario also consider that, when you put an extra four billion in provisions, you're considering the top of the ALLL expenses range, right? We're moving away from the ALLL expenses that we'd already been guiding you towards the top and we've revised it now. So, it goes from 30 to 31 to 34. But if we look more towards the middle, we see an addition here, as we said, of something very close, an expense close to what was done last quarter is close to the middle here.

So here we have this difference of 2 billion. We mentioned the Previ result in the previous question, which helps a little. Geovanne commented on the result of the stakes the bank has in other companies and the possibility of improving the business. So, it's a bit complicated, because not everything here is necessarily half, right?

So, we've been on a very good climb in terms of administrative expenses, for example, which we're a little lower on. So, I think that this math is adjusting and accommodating itself so that we can achieve this increase in profit that we have committed to you here, of high single digit growth. So, I think it's this whole context that we also need to consider here in the Guidance Balance sheet. Is that good?

**Mário Pierry - Bank of America**

That's great. Thank you.

**Janaína Storti – Gerente Geral de RI**

Thank you. Thank you very much. Well, our next question is from Tito Labarta, so I'll switch to English. Tito Labarta from Goldman Sachs. Hello, how are you?

**Tito Labarta - Goldman Sachs**

Hi Janaína, good morning, everyone. Thank you for taking my question. I have a follow up on Mário's question, but in a slightly different way.

You talked about the NII, the improvement, that the forecasts may even increase a little more and then stabilize. Do you think this NII will be risk-



adjusted and provisions will continue to increase from here? And what do you think about the sustainability of ROI at 1.7? Do you think it would be sustainable for next year? Or beyond that, what are they?

### **Geovanne Tobias - CFO**

Thanks, Tito, for the question. Absolutely. To the extent that our strategy of expanding growth in the individuals portfolio in these more profitable lines, such as credit cards, helps to strengthen our margin generation. And so, we believe, of course, that it depends too. And we, because eventually, Tito, what could jeopardize our strategy is if there were a very sharp drop in the Selic rate, because then it would begin to compress my spread on the liability side, because I have a large part of my liabilities in savings, which is 6% fixed. I'd have to have a Selic below 8.5 for you to immediately increase that liability margin to 30%, because then savings will be remunerated at 70% of the Selic.

So, we have to be very careful. As for 2025, we're working with a terminal Selic rate of 9.75. Now, all of this is an estimate, right? We have to adjust as events unfold. We believe that we can maintain this level of return. Right? And by guaranteeing this, we expect growth in the risk-adjusted margin, including for individuals.

We have this new crop plan, which is bringing with it higher spreads. It's all a question of controlling the provision. In risk, especially in micro and small companies, which we have already addressed and are addressing, and in agribusiness. The margin in agribusiness and corporate is already tight. So, there's no way you can grow much in this margin, unless you generate more volume to generate gains and control risk.

For individuals, yes, we're still very focused on payroll loans. We'll continue to be concentrated, but we're not taking advantage of the opportunities for growth in credit cards. And I think that's more or less it. I don't know if you'd like to add anything to that, Prince and Janaína.

### **Felipe Prince - CRO**

Perfect. Geovanne, just on the credit side, it's the card, as you said. And then I think it gives us the opportunity to say that we have grown, yes, this portfolio over three, four years, it practically doubled, but at the peak of the balance, it still had a lot of digital growth, which didn't perform. So, what gives us confidence now? Now we have an almost identical portfolio, a loss of 3%. So, the balance is the same. But the foundations of this balance are very solid. So, it gives us an opportunity here to grow and serve our clients in a fantastic way. And all of this is anchored in the



evolution of our models, in the increasingly strong use of these components of data analysis and artificial intelligence concatenated with our onboarding process.

And this brings a new area of activity for the bank in digital, but with sustainability. So we're going to bring in more customers, we're going to do more business, but we'll continue to grow responsibly, always looking at the net margin, as you said. So, this will also contribute a lot to maintaining these levels.

#### **Tito Labarta - Goldman Sachs**

Great, you helped a lot. You gave guidance perhaps for the Lower Ratings and perhaps the margin will now reach the higher values. Maybe you thought it would be a bit more positive because of the higher rates.

#### **Geovanne Tobias - CFO**

When we made the guidance, we expected a Selic rate of around 9.25. Now we're working with 10.5.

#### **Tito Labarta - Goldman Sachs**

Great, Geovanne. Thanks Felipe and Janaína.

#### **Janaína Storti – Gerente Geral de RI**

Thanks Tito. Shall we continue in English? The next question comes from Nicolás, from Bank of America. Nicholas, you can continue.

#### **Nicolas Riva - Bank of America**

Thank you very much. Thank you very much for the opportunity to ask. You have a question about the perpetuum bond that you have 8.78% still outstanding, that you didn't redeem in April, but you can still redeem on coupon day. Now, the redemption price is 1.2. I think you can start by doing it more or less like this on September 15th.

Geovanne, maybe you can talk a little bit about this decision, if this decision will be simply an economic decision or if you can raise \$1.2 million, let's say, 8% and you will make the redemption before or after, or if it will be in October. Thank you.



**Geovanne Tobias - CFO**

It will be purely economic and from the market at an attractive rate. Then I can evaluate it, make the call on the one that's outstanding, understand? Otherwise, the banks have come to us with various proposals, saying that the market is open. But we're still a bit skeptical because since the Credit Suisse episode, this market has closed and the recent ones that have been placed, they're still at a price even higher than my current one, you know?

So, in the short term, I think it's difficult for the market to have improved enough in the October window to open up an opportunity for me to make a call, you know? But if there is an opportunity, if it makes economic sense, we'll evaluate it.

**Nicolas Riva - Bank of America**

Geovanne, thank you. If I have, if I can do a follow-up, you said that our goal is to have one CET1 of more or less 11% or for you it would even be more or less a different number? Is there a goal for this in the future?

**Geovanne Tobias - CFO**

There is no goal. Our goal has to do with the capital, that is, we have it above what would be our target and it's right above the regulatory requirement.

**Nicolas Riva - Bank of America**

Okay, thank you very much.

**Janaína Storti – Gerente Geral de RI**

Thank you, Nicolas. Our next question comes from Natalia Corfield from JP Morgan.

**Natalia Corfield - JP Morgan**

Hi Janaína, Geovanne. Thank you for having my question. My question is also about capital and you've already mentioned a little about what I'm going to ask. We saw a reduction in capital this quarter. Geovanne commented in the previous question about impacts that will come next



year and I wanted to know if you already know the IFRS9 impact on your capital. Itaú yesterday in their call, they were very clear and said that the impact is very small. So, I was wondering if for Banco do Brasil it's also very small or if it's a bit bigger than, for example, it will be for Itaú. Thank you.

**Felipe Prince - CRO**

Perfect, Natália. Felipe Prince here. Nice to talk to you. And we will have an impact, obviously. But as we've been working very hard to define the rules, not only among the banks themselves, but also with the Central Bank, we believe that some cushioning measures will occur over time.

It's definitely not our base scenario. We haven't yet disclosed the impact, but what we can guarantee is that it's not material enough to alter the vision that Geovanne is bringing here, which we believe is adequate, that is, our prudential level of running the bank and our growth strategies going forward.

So, there are a lot of regulatory issues still being discussed and I brought up the issue of 14,457, which, depending on the deferral period, changes this pointer a lot, in the case of Banco do Brasil, and then it will depend on this scenario. It has already been said of 36, even 10 years to be able to make this deferral. But obviously we project our capital for five years ahead and we have full capacity to absorb all this regulatory evolution that has been agreed here for Brazil, pending only a few definitions so that we can tell you in the comma that the size is of possible impact. But as I said, it won't affect the running of our business.

**Natalia Corfield - JP Morgan**

So, it probably won't be a very big impact.

**Felipe Prince - CRO**

Probably.

**Geovanne Tobias - CFO**

It depends on what you call big. It's not as insignificant as Itaú says it will be. It will have an impact, but it won't get in the way. Looking at my capital ratio here, I'll continue to have capital above what would be prudential. Ours is well above the regulatory level.



**Natalia Corfield - JP Morgan**

And that's what we expect. Thank you.

**Geovanne Tobias - CFO**

We also expect it, Now, the derisory impact really isn't our case. It will have an impact, but nothing that will hinder our growth strategy.

**Natalia Corfield - JP Morgan**

And it could possibly change its dividend policy.

**Janaína Storti – Gerente Geral de RI**

Natália, we are doing all the model reviews, analyses, going deeper into this here internally at the bank and as soon as we have a bit more color, an exact impact, then we'll also share it better with you, okay? I think there's still some discussion in the regulatory sphere about how this adoption is going to be carried out, as Felipe said. So, we're here trying to put everything on the table so that we can have it all very detailed and bring it to you. Because in December, we necessarily must have a vision of what it will be like for 2025.

**Geovanne Tobias - CFO**

But maybe we can say that it will be two digits. Right, Prince? Our next ICP would still be two digits.

**Felipe Prince - CRO**

No, definitely, definitely two digits. And in the same way that we've been debating here over the last two years, the issue of operational risk, and we've brought the impact below what we had even told you at the beginning. It's the same way we're piloting here the adaptation of our balance sheet to the new rules that are coming, but remembering that some regulations are still pending.

**Natalia Corfield - JP Morgan**

Thank you.



### **Janaina Storti – Gerente Geral de RI**

Well, our next question comes from Carlos Gomez-Lopez, from HSBC. Carlos, you can speak in Portuguese or English.

### **Carlos Gomez-Lopez - HSBC**

I'll try it. Two questions on the legal side. First, the legal risk. In the quarter, you doubled, 85% increase in the year and 37% or more. We want to understand what the reason is and what the outlook is for the future, because it's a huge expense for the bank. And the second about the economic plans. Once again you have a billion in provisions. That's R\$4 billion for the year. I want to understand why this isn't recurring, because in the end it's one of the bank's most recurring items, right? But it is classified as one off. What is the logic for one off?

### **Felipe Prince - CRO**

Perfect, Carlos. I think these two questions they concatenate. The agreement, I think I even commented to you here in the last one, the agreement between Febraban and the STF related to the economic plans, it ends next year and this, obviously, makes the plaintiffs more eager to enter into agreements with the banks, because the scenario, after the end of this agreement, which both parties have already declared they have no interest in renewing, is quite uncertain.

So, this opens up the possibility of signing these agreements. Which we have seen as an opportunity, because we have been working to speed up the execution of these agreements and, obviously, to ensure that the disbursement costs of these agreements are lower than the provision we have. But since I have a disbursement that has been increasing month by month and it tends to increase until December 25, I obviously have to adjust my provision volume to this disbursement issue.

And as we've already stated here and at other conferences, we've been dealing very strongly with the issue of stock. And the stock presupposes that I also accelerate my celebration strategy according to, obviously, the consumption of provisions. So it may be that in one quarter or another I consume a little more provision, because I've concluded the agreement and generated expenditure.

But in others, as has also happened, I have a reversal, a reversal in lower consumption. The message we want to convey here is that this is a scenario that should last until the end of 2025. But everything has been mapped





out and we're working hard here so that, as I said, the equation is, in the end, what I have provisioned is less than what I'm going to pay now. The Delta D of this is that it's a bit complex, because it depends on the courts and the willingness of clients to enter into these agreements.

**Carlos Gomez-Lopez - HSBC**

And all of this is for economic plans, isn't it?

**Felipe Prince - CRO**

Not just economic plans, but the settlement strategy also covers all the rest of the legal risk. So, what we, what our models have said and we have incorporated a lot of developments in jurisprudence in the evaluation of these claims, that eventually I accelerate a settlement process economically over time at present value. That tends to be beneficial for my balance sheet in the long run. So, what do I do? Once this opportunity to accelerate has been identified, we promote the agreement and it ends up, at first, bringing an additional expense. But, as I said, over time, this is economically very favorable for the bank. So, it's basically a result of this strategy.

**Carlos Gomez-Lopez - HSBC**

That's fine. But when would it be reasonable to expect this strategy to result in a lower provision? Because now we're having to make the agreements. All right, every 24, every 25, every 26, when could we expect a reduction in the bank's legal cost?

**Felipe Prince - CRO**

2026 I think that's a good date, not least because, as you say, economic plans are the main offender and we hope to zero out this account by 2025.

**Carlos Gomez-Lopez - HSBC**

Thank you.

**Janaína Storti – Gerente Geral de RI**



Thank you, Carlos. Our next question comes from Mateus Raffaelli, from Itaú.

**Mateus Raffaelli - Itaú**

Good morning, everyone. Thank you for your question. I'd like to change the subject a little bit and ask a question about INSS payroll loans. Geovanne commented, if I'm not mistaken, that you're growing 20% in their portfolio this year, a product that perhaps the bank doesn't have a fair share of, considering the historical focus on public payroll loans. But I'd like to understand here that you envision that INSS payroll loans could in fact be a relevant avenue for BB to grow in individuals as well. How have you managed to grow your product in this caps scenario? And finally, if you could also comment on your appetite for the INSS benefit auction, which should take place by the end of the year, that would be very useful for us. Thank you.

**Geovanne Tobias - CFO**

Thank you for your question. We've actually grown by 17%, we've now reached a balance of 25 billion. If you consider that my payroll loan portfolio is 133.7 billion, we intend to grow even more. We had less than 10%, you know? We're achieving a lot in this market by making active offers, we've taken advantage of the portability issue. We even offered, what do you call it? A digital solution where the customer can even look for the lowest installment.

It already calculates, they already receive our offer there, reducing his INSS installment and does the portability. So, we've managed to grow, that's why we've increased the balance. All right, the base was smaller, but it's still a significant growth, considering that my traditional payroll loans grew by 10, you know? And INSS grew almost twice as much.

But we believe there is room, and the people who follow this market are watching and paying attention. We're not going to waste money. What we've noticed is that it's important to have a well-directed, focused strategy and to make an active, personalized offer to this segment, offering the embedded technology to help and facilitate this portability process, it's more attractive for us.

**Felipe Prince - CRO**

It's important, Geovanne, to make it clear, because you can compare our INSS line, it's digital and there are no intermediaries, so this gives us a



competitive advantage in a scenario of falling interest rates. And that's what we've been trying to take advantage of, obviously without making any kind of adverse selection. All credit analysis, all risk modeling, is rigorously applied to these clients as well.

And then, obviously, when you combine a lower cost of credit with a lower cost of servicing, it gives us the possibility of growing this portfolio with the right net spread. And that's what we've been taking advantage of. So, we reaffirm here, we grew this 17% this quarter, but we're going to keep growing much more. And if you think that we have more than 20% of the payroll loans in the country, maybe that's our fair share of this market.

So, we have the potential to double this portfolio and the conditions are right. Despite the competition, which is quite high, they have favored us to accelerate the execution of this strategy.

And as far as the auction is concerned, that's what Geovanne just said, let's not spend or waste money. If it makes sense, and if the risk-adjusted return is favorable, we'll participate in the auction. If the conditions aren't favorable, we'll work, as we have today, attacking the bases of our competitors. And then there's something that counts a lot in our favor, which I think you have to consider, which is our capillarity, because it's even so that I don't contradict myself, our line is digital, but it's available at our ATMs. The INSS public often, or most of the time, is expensive for requesting personal assistance, for connecting with the service point. So, we have this possibility of bringing in these clients without necessarily participating in an auction process.

So here we're going to look, we're going to count. If it makes sense, we'll take part. If not, the strategy we've been piloting here today is to attack the competition using our strengths to leverage this business.

#### **Mateus Raffaelli - Itaú**

Spectacular, thank you very much.

#### **Janaína Storti – Gerente Geral de RI**

Thank you, Matheus. Well, our next question now comes from Eduardo Nishio, from Genial.

#### **Eduardo Nishio - Genial**

Good morning. Good morning, everyone. Thank you for the opportunity to ask the last question. I have three quick points Prince, Geovanne and



Janaína. The first is in relation to Americanas, the recovery plan was practically already outlined. You had a small exposure, more than 1.6 billion and it was 100% provisioned and due to losses. I'd like to know how you're going to deal with this, perhaps this reversal, recovery, if it's going to go through the recovery line and the magnitude timing. If you could share this case with us. Agribusiness, we did a simple account here and it could be very relevant in the second half of the year, because you had an increase in volume and an increase in your share.

And our account, which is very simple, which we did. We're looking at a 50% increase in your disbursements. It could be an interesting drive for the second semester. And finally, I think it's a little more complicated here. BB Seguridade, we heard at the Seguridade conference call that the managements were aligned on resolving the contract or bringing it forward, in short, reformulating it, perhaps the contract would be very interesting for BB Security over the next 1.5 years. I would like to know if this is really the intention of Banco Brasil's management. Thank you.

### **Geovanne Tobias - CFO**

Let me start here with BB Seguridade, from the last point. To make it clear once and for all, people. Banco do Brasil, our concern is to what extent the bank is maximizing this contract, not from the point of view of destroying the value of the security, because the security is mine, it belongs to Banco do Brasil. There's no possibility of Banco do Brasil not renewing the contract with BB Seguridade and doing it with someone else, okay? And we don't want to destroy value, because we'll be taking value out of one pocket and putting it into another.

What we have been discussing is, yes, in the operational sphere: how is this equation? How much is my foreign partner earning more or less than Banco do Brasil? Because that product is only sold thanks to my workforce in my network. Thanks to me, my client base, it's fundamental.

I told you here how much these other businesses added to the bank's results. So, if we're discussing it, yes, but without pressure, because it has to be resolved, because BB Seguridade's pricing is very bad, etc and so on. No, I want the conversation, it's happening, it's going to happen, it's going to be deepened. We're still evaluating, understanding the history of these partnerships, you know? How much money was left on the table, how much my partner earned on me, etc., so that we can assess what we consider to be a fair relationship. This will only benefit BB Seguridade as a whole.

### **Felipe Prince - CRO**



Well, the question of agribusiness, the relevance, I think we've been talking about it all the time here, and yes, you're right Nisho, because of the negotiation we made this time, and it's not just a negotiation. The negotiation for us to make a better offer in the controlled resources auction, which culminated in the largest volume we've received in the last five years, proportional volume that I'm talking about in financial volume, the largest in history.

This will effectively boost our disbursements. And we hope that this strategy will not only, as I said, help to regularize these delinquent operations, but that we will be able to bring back to the bank a number of high-quality producers who we have had a relationship with for a long time and who in recent years have also ended up looking for competition.

So we have a very well-placed strategy of using these resources to encourage compliance, to assist the clients who are here in our base and also to win them back. That's what our project is called, including that I win back those customers who have gone to the competition. And that's where it comes in, even with your question about BB Seguridade.

This Crop plan also has a very strong potential to leverage our products and services. And insurance is perhaps the product that makes the most use of this source in our negotiations with our clients, given the market's need for this type of product. So, we're very confident that we're going to start a new cycle with a lot of responsibility.

It's not the same margin we had in the field two or three years ago. But we're not talking about a negative margin either. Those who are working well are earning 25, 30, 35% in the field. That's where we're going to make progress. Regarding to the specific case of fraud in the retail segment, we took an active part in the negotiations, as you know. They reached a point very close to what we ourselves had set as a goal back then, and we had even stated to you that we imagined we would have a recovery in the order of 30%.

It's going to be a little lower than that, but there's already a significant amount in the recovery account this quarter because part of these funds have already been received, including in cash. Our strategy in participating in the plan was to favor cash receipts, obviously, in a recovery that made sense to us, and leave the part in participation and excuse the redundancy, it's smaller and that's how it was executed.

So there will be a part that we have already received and another that we will manage to enhance this recovery. But being very clear, it will no longer be linked to credit, but rather to the company's equity performance.



**Janaína Storti – Gerente Geral de RI**

And just an observation Nishio, when Prince says we already received it, it's not in the June issue, right? But it will be from the next quarter on.

**Eduardo Nishio – Genial**

Perfect, super clear. Thank you very much.

**Janaína Storti – Gerente Geral de RI**

Thank you very much. Well folks, I'd like to close our conference call, our earnings webcast and thank everyone for their participation. And to finish, I'm going to hand the floor over to Geovanne to make some final remarks.

**Geovanne Tobias – CFO**

Well, without a doubt, I know that the announcement of our results, even though we are extremely proud of this result, demonstrates the firm execution of our strategy, our commitment to bringing the best solution to our customers and counting on the support of our employees.

I know that the market has not understood many issues and we would like to give you a very clear message. We are extremely committed to delivering this guidance, we believe that we will be able to deliver this result. We are addressing what needs to be addressed from a totally transparent perspective. Here at the bank, we work together in a mixed way.

We like to talk, putting our finger in the wound. It's a very courageous management, but without giving up on safety, without giving up on caring for people, investing in technology, recovering the gap that we need in what is fundamental to generate more return and I hope that in the third quarter we can bring more numbers and more clarity in this new harvest.

We have already implemented measures to further improve the compliance of our micro and small business and agricultural clients who are experiencing difficulties or for whom we have had to increase provisions. But, on the other hand, we have been very successful in generating results in the individual segment and, despite the increase in competition, Banco do Brasil has offered very advantageous solutions for our clients.

And the figures back that up. So, count on us. The IR department is available to provide more clarity and explain things better, if you don't



understand. We're also always open to talking to you, ok? Thank you very much for listening.

**Janaína Storti – Gerente Geral de RI**

Bye, bye, guys. Thank you very much. See you next time.